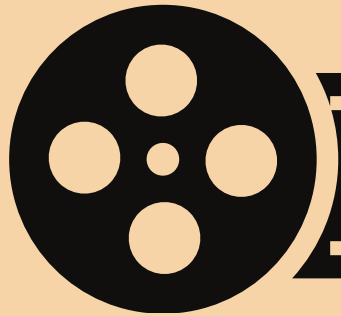
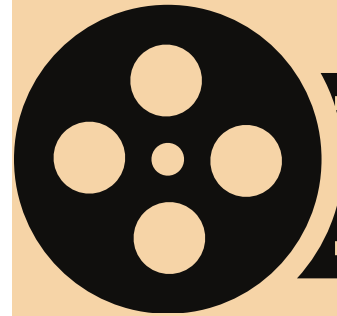




SENERIO 3

CLOSING PRICE IS RS.1900

We see that the price is equal to the closing price. In this case too, the seller will not pay the buyer any amount and ends up with a profit of Rs 50 which was the premium received.



SENERIO 4

CLOSING PRICE IS RS.1700

We see that the closing price is lower than the strike price. This means the seller will pay Rs. 200 per share to the buyer as the price fell below the strike price. However, Rs. 50 of this was paid to the seller as premium. As a result, the buyer ends up with a profit of Rs. 150 per share. We see how with the use of options, a 15% decrease in price led to a profit of 300% for buyer and loss for the seller. These are extremely leveraged and as a result, unless extremely well trained, we are better off away from them. We will only use these for risk management.